

VALUE ENGINEERING (TEST-I)

Q1. State the five important differences among fixed costs and variable costs giving appropriate examples in tabular form

(4)

Q2. State the three most important **learnings** from the concept of 'life cycle costing' in brief. (3)

Q3. Discuss in brief why an early breakeven is desired for any manufacturing company and how any delay in manufacturing leads to delay in the breakeven point considering the case of a380 jumbo jet. (4)

OR

Find the breakeven point for airbus a380 with the following data; initial investment in design and development: 25 billion \$, fixed cost of assembly line: 3billion per year, Selling price per aircraft: 400 million, Variable cost per unit: 250 million, production capacity per year: 25 units. If a delay of 2 years happens in the launch of this aircraft, compute the revised breakeven point. Why the breakeven point changed? Discuss.

Q4. Define 'manufacturing overheads'. Discuss why an accurate estimation of these overheads is important and illustrate how these are determined/computed in practice assuming suitable data (hint: manufacturing of furniture)

(4)